

FINANCIAL RESULTS FOR THE HALF YEAR TO 30 SEPTEMBER 2013

The Chairman and Board of Directors of Centum Investment Company Limited are pleased to announce the unaudited financial results for period to 30 September 2013:

Consolidated and Company Statement of Comprehensive Income

For the period ended 30 September 2013	Group		Company	
Kshs. Million	Sep'13	Sep'12	Sep'13	Sep'12
Investment Income	1,198	749	994	550
Operating and Administrative costs	(219)	(126)	(178)	(118)
Finance Costs	(298)	(103)	(295)	(5)
Share of Associate Profits	352	316	-	-
Profit Before Tax	1,033	836	521	427
Profit After Tax	892	806	507	414
Other Comprehensive Income	576	142	688	(66)
Total Comprehensive Income	1,468	948	1,195	348
Earnings Per Share-Basic	1.34	1.21	-	-

Consolidated and Company Statement of Financial Position

	Group		Company	
Kshs. Million	Sep'13	Mar'13	Sep'13	Mar'13
Portfolio value	19,267	16,996	21,282	19,307
Other assets	1,292	1,954	363	1,359
Total Assets	20,559	18,950	21,645	20,666
Borrowings	4,150	4,150	4,150	4,150
Other Liabilities	1,299	1,157	163	379
Capital and Reserves	15,110	13,643	17,332	16,137
Total Capital and Liabilities	20,559	18,950	21,645	20,666
NAV per share (Kshs.)	-	-	26.05	24.25

Consolidated Statement of Cash flows for the period ended 30 September 2013

Kshs. Million	Sep'13	Sep'12
Opening cash and cash equivalents	1,502	322
Net cash from operations	109	(155)
Net cash from investing activities	(715)	96
Cash from financing activities	-	3,149
Exchange (losses)/gains	-	(4)
Closing cash and cash equivalents	896	3,408

Consolidated Statement of Changes in Equity for period ended 30 September 2013

	Group		Company	
Kshs. Million	Sep'13	Sep'12	Sep'13	Sep'12
Share Capital	333	333	333	333
Share Premium	590	590	590	590
Revaluation Reserve	3,404	1,878	10,898	8,727
Retained Earnings	10,783	8,188	5,511	4,384
Total	15,110	10,989	17,332	14,034

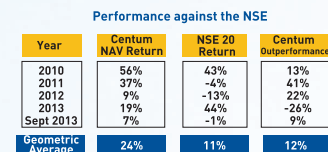
The financial data presented above are selected extracts (without material adjustment) of the unaudited financial results. For an in-depth analysis of performance visit www.centum.co.ke

REVIEW OF PERFORMANCE

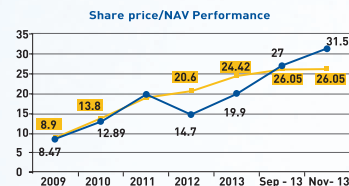
Centum recorded a Kshs 979M increase in net worth for the first 6 months of year 2013/14. Net Asset Value (NAV) increased by 7% to Kshs 17.3Bn.



Over the past 4½ years of the current strategy period (2009-2014), shareholder wealth has grown by Kshs 11.4Bn which represents a 194% growth.



We continue to deliver market beating returns and have on average outperformed the NSE by 12% over the past 4.5 years



Enhanced investor communications saw our share price trade at a 4% premium to NAV as at 30 September 2013.

The performance for the half year to 30 September 2013 was on the back of following significant milestones.

1. Real Estate & Infrastructure Business line

a) Two Rivers Project

- We broke ground on the Two Rivers project with an expected completion date of Q4 2015 for the opening of the Two Rivers Retail & Lifestyle Center. At 775,000 Sq Ft of lettable space for retail and commercial, it shall be the largest retail and commercial complex in Sub Sahara Africa outside South Africa. The Two Rivers Retail & Lifestyle Center is over 30% let and there is significant interest from some of the top retail brands in the world.
- We attracted high quality development partners for the construction and operation of a 3 star Hotel. We are in advanced discussions with some of the top luxury hotel brands in the world for the development and operation of a luxury hotel. In addition, we are engaging with some of the top providers of medical health care services to establish a world class medical facility at Two Rivers.
- We are in the process of converting Two Rivers into a Development Real Estate Investment Trust (D-REIT) and we have so far secured interest for funding of over Kshs 14.45 Billion in equity and long term debt from local and international investors.

b) Pearl Marina Project

- The project Master plan has been approved by local authorities.
- We are in the final stages of securing the necessary statutory approvals and construction of Phase 1 to commence early 2014.
- We have attracted considerable interest locally and internationally for the project.

2. Private Equity Business line

- Completion of the merger of Rift Valley, Mt. Kenya and Kisii Bottlers into Almasi Beverages Ltd and the recruitment of a top notch management team.



- The PE business line continued to focus on value creation initiatives within the portfolio companies which resulted in performance improvement as well as a 59% increase in dividend income during the period.

3. Quoted Private Equity Business line

- Centum is in the process of completing the acquisition of 73.35% of Genesis Kenya Investment Management Limited subject to obtaining regulatory approvals. Genesis Kenya manages over Kshs 100Bn in funds under management and is the second largest fund manager in Kenya.
- Centum Asset Managers [CAM] increased its third party Assets under Management to Kshs 3.1Bn with a growth in clientele from institutions as well as high net worth individuals.
- CAM is currently developing products to bring to market.

In September 2013, Centum received a credit rating of A- and A1- for both short and long term with a POSITIVE outlook from the Global Credit Rating Company (GCR).

Our passion for excellence saw us feted with several awards;

- Financial Reporting Excellence (FiRe) Awards 2013: Overall Winner East Africa. This was in addition to: Overall Winner - Kenya, Winner - Industrial Commercial & Services category, Winner - Listed Entities Category and 1st Runners up - IFRS Category.
- Champions of Governance Awards: 1st Runners up Finance & Investment and 1st Runners up Certified Company Secretary of the year.
- Wharton Club for Africa (WCA) Award: Centum CEO, James Mworio was awarded Africa CEO of the year award at the WCA Africa Investment Summit held in Nairobi earlier in November.

OUTLOOK

This is the last year of our 2009-2014 strategy period and we are confidently headed for a strong finish. With improving economic fundamentals, we are confident of better prospects for generating alpha during the second half of the year for our quoted private equity portfolio. The focus of private equity business will be to maximise the value of the portfolio through execution of various value creation plans. On the real estate side of the business; focus will be on completion of infrastructure and development of the Two Rivers Retail Mall, as well as breaking ground on Phase One of the Pearl Marina project.

New Business Lines:

Our focus remains to develop high quality business lines of scale and we look to replicate our success in developing the real estate business line in large-scale agriculture and power development. We will play a developmental role in the creation of scalable investment grade opportunities in agribusiness and power sectors. We are now working at setting up the agribusiness line with a vision to be the leading integrated supply chain manager in agricultural products with operations starting in Kenya before diversifying to the rest of the continent.

CONCLUSION

Centum today has a high quality portfolio of investments and opportunities, a world class team of professionals to ensure the execution of business objectives, a strong cash generative business, and entrepreneurial culture coupled with a healthy balance sheet and an effective Board of Directors. We believe that these factors have positioned Centum to achieve better results in the future and play an even greater transformational role in the development of the economies of Sub-Sahara Africa.

By Order of the Board

James Mworio, CFA
Group CEO